

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EARTHQUAKE

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS POLICY

SCHEDULE

Prem. No.	Bldg. No.	Covered Property	Percentage Deductible	Premium
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Insurance provided by this endorsement only applies to Covered Property described in the schedule for which a premium is shown.

- A.** The following are added to COVERED CAUSES OF LOSS in Paragraph **A.3.** in the Businessowners Property Coverage Form:
1. Earthquake
 2. Volcanic Eruption, meaning the eruption, explosion or effusion of a volcano.
- B.** All Earthquake shocks or Volcanic Eruptions that occur within any 168-hour period will constitute a single Earthquake or Volcanic Eruption. The expiration of this policy will not reduce the 168-hour period.
- C.** With respect to the coverage provided by this endorsement, we will not pay for loss or damage caused by or resulting from:
1. Fire, explosion (other than volcanic explosion), landslide, mine subsidence, tidal wave, flood, mudslide or mudflow, even if attributable to an Earthquake or Volcanic Eruption.
 2. Any Earthquake or Volcanic Eruption that begins before the inception of this insurance.
But, if this policy replaces earthquake insurance that excludes loss or damage that occurs after the expiration of the policy we will pay for loss or damage by Earthquake or Volcanic Eruption that occurs on or after the inception of this insurance, if the series of Earthquake shocks or Volcanic Eruptions began within 168 hours prior to the inception of this insurance.
- D.** The EARTH MOVEMENT EXCLUSION does not apply.
- E.** The **Deductible Endorsement**, **EB 0311**, is replaced by the following for Earthquake and Volcanic Eruption:
1. We will subtract a sum from the amount of loss or damage in any one occurrence.
 - a. The sum we subtract from each separate item will be a percentage of its value. The applicable percentage is shown in the Schedule above.
 - b. This Deductible applies separately to the following:
 - (1) Each building or structure;
 - (2) The contents of each building or structure; and
 - (3) Personal property in the open.
- Example:**
- When:
- The value of the property is \$100,000
The Earthquake Deductible is 5%
The amount of loss \$20,000
Step (a): $\$100,000 \times 5\% = \$5,000$
Step (b): $\$20,000 - \$5,000 = \$15,000$
The most we will pay is \$15,000. The remaining \$5,000 is not covered because of the Deductible.

2. No deductible applies to the following Additional Coverages:

- a. Business Income;
- b. Extra Expense; and
- c. Civil Authority.

F. The following is added to the LIMITS OF INSURANCE SECTION:

The Limit of Insurance that applies to coverage under this endorsement also applies to the Business Income and Extra Expense Additional Coverages.

☐ **MASONRY VENEER EXCLUSION**

(If the box above is checked, this exclusion does not apply.)

This company shall not be liable for any loss to exterior masonry veneer (other than stucco) on wood frame walls and the value of such veneer shall not be considered in the determination of the actual cash value when applying the Deductible.

This clause is not applicable where less than 10% of the total exterior wall area is faced with masonry veneer.